

Dear Editors of Asian Business & Management,

Please consider our manuscript “At the Upper Bound of the Institutional Gradient: Internationalization, Capabilities, and Firm Performance in Japan’s Inaugural World Bank Enterprise Survey” for publication as an original research article.

The paper exploits a unique data event: Japan’s first-ever inclusion in the World Bank Enterprise Surveys (2025; N = 2,168 establishments). This closes the last major gap in harmonised firm-level data for advanced Asia and allows the first direct test, on identical instrumentation, of how the internationalization- performance relationship behaves at the upper bound of the institutional gradient. The setting is theoretically pointed: the inverted-U that organises this literature was originally established on Japanese firms (Lu & Beamish, 2001, 2004), yet Japan has never been observed on the harmonised instrument that benchmarks it against its regional peers. We find a monotonically positive relationship with no detectable turning point across eleven specifications; level-shifting (not curve-resaping) effects of technological capability and digital adoption; and, most consequentially, that the productivity payoff to internationalization operates at the extensive margin rather than along the intensity gradient: foreign ownership, technological capability, and digital adoption govern who exports, and exporters earn a 25.8% productivity premium. We also document a firm-longevity premium consistent with the shinise tradition and a strikingly thin female-leadership margin.

The manuscript is approximately 7,000 words, has not been published, and is not under consideration elsewhere. A full replication script accompanies the submission. Given the journal’s focus on the Asian business context and on Japan in particular, we believe the paper will interest your readership.

Sincerely, The Authors